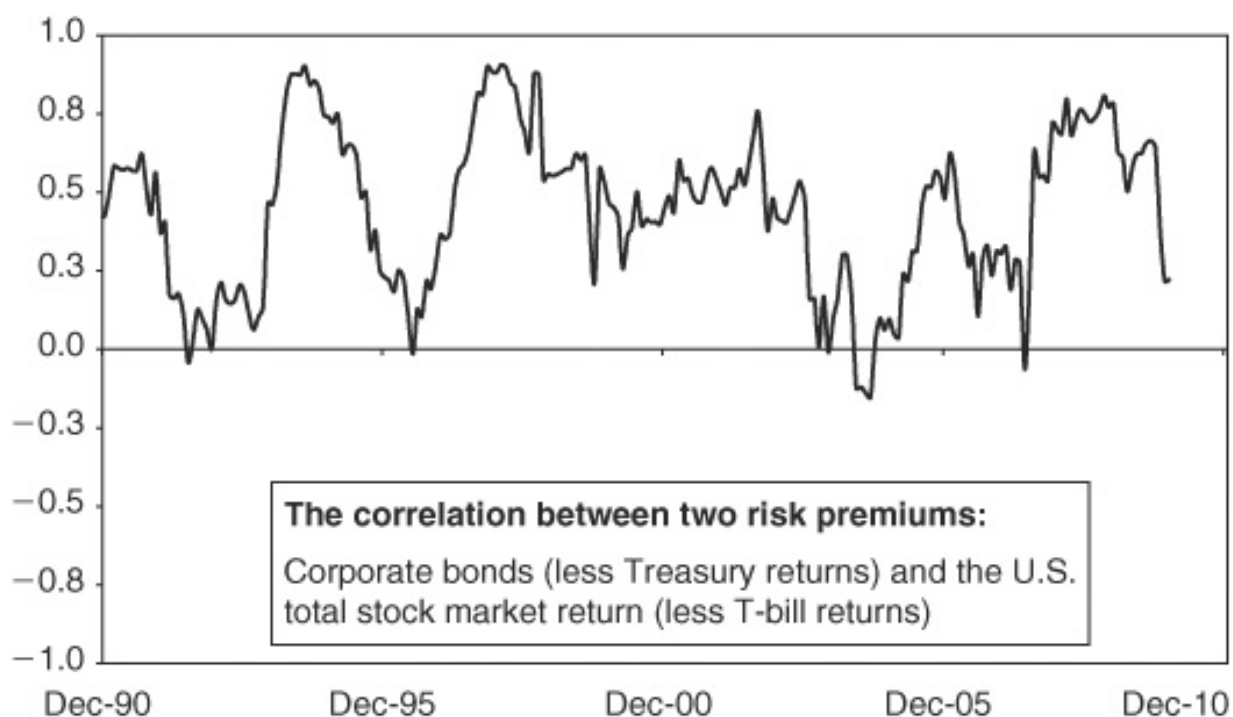


corporate bonds is something to consider when you are deciding on the total risk in your overall portfolio.

FIGURE 8-5

12-Month Rolling Correlation between the Credit Risk Premium and the Equity Risk Premium



INVESTING IN INVESTMENT-GRADE BONDS

[Table 8-2](#) is an example of how the two risk factors of credit risk and maturity played out from 1973 to 2009. The higher interest-rate risk of intermediate-term Treasury bonds drove their return higher than the return on one-year Treasury bills. Also, the addition of credit risk increased the return of corporate bonds over Treasury bonds.

A well-diversified fixed-income portfolio includes a broad range of investment-grade bonds with different maturities, quality, and issuers. Most taxable investment-grade bonds issued in the United States are included in the Barclays Capital U.S. Aggregate Bond Market Index. As of January 2010, the Barclays Capital U.S. Aggregate Bond Index tracks more than 8,400 U.S. Treasury, government agency, investment-grade corporate, and Yankee bonds (foreign bonds issued in the U.S. that trade in dollars). One